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Do Women Receive Worse Financial Advice?

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1 Big picture

- **Question.** Do financial advisors provide different-quality advice to male and female clients, and what mechanism explains the gender gap?
- **Setting.** The authors run an audit study in Hong Kong in 2018–2019. Trained male and female undercover auditors visit all 65 local financial advisory firms that cater to retail investors.
- **Experimental variation.** Auditors play scripted avatars that randomly vary risk tolerance, confidence, and geographic outlook.
- **Sample.** The final sample has 463 successful visits at 102 branch offices across 65 firms: 75 visits to financial planners and 388 visits to securities firms.
- **Main result.** At financial planning firms, women are more likely than men to be advised to buy only individual risky securities and only local securities. At securities firms, gender differences are small or absent.
- **Mechanism.** The model explains the pattern through statistical discrimination interacting with advisor incentives.
- **Economic takeaway.** Gender inequality in financial advice can arise even when advisors respond to perceived sophistication rather than explicit dislike.

2 Data and measurement

2.1 Audit-study design

Auditors pose as potential retail clients seeking investment advice for retirement. Each auditor follows a prepared but free-flowing script and then completes an exit survey recording the advisor’s product recommendations and conversation content.

Interpretation. The design makes the advisor’s behavior observable while holding the client request fixed.

2.2 Firm types and outcomes

Securities firms are full-service brokers. Financial planning firms provide personalized wealth-management advice. The main outcomes are:

$$\text{Undiversified Advice} = 1\{\text{advisor recommends only individual risky securities}\},$$

$$\text{Home-Biased Advice} = 1\{\text{advisor recommends only Hong Kong securities}\}.$$

Interpretation. These outcomes capture recommendations that expose novice investors to avoidable idiosyncratic or geographic concentration risk.

2.3 Auditor avatars

The study randomizes high or low risk tolerance, high or low confidence, and domestic or international geographic outlook. Gender is observed by the advisor, while these attributes are experimentally assigned.

Interpretation. Randomization lets the authors ask whether the same stated preference produces different advice for men and women.

3 Models and empirical specifications

3.1 Demand-side matching

$$x_{ig} \sim G_g(\cdot), \quad G_M \text{ is shifted right relative to } G_F.$$

$$x_{ig} > \beta : \text{no advisor}, \quad \alpha < x_{ig} \leq \beta : \text{securities firm}, \quad x_{ig} \leq \alpha : \text{financial planner}.$$

Interpretation. Because FPs receive low-knowledge clients, FPs infer larger gender differences in financial sophistication than SFs do.

3.2 Advisor payoff

$$\Pi_a = [f_a + m_a(\gamma)] \theta(r_i, c_i, o_i, x_{ig}) - C(\gamma), \quad \gamma \geq 0.$$

Interpretation. Advice quality worsens as γ rises. The advisor trades off fee and commission benefits multiplied by the probability of retaining the client against the cost of worse advice.

3.3 Empirical specifications

$$y_{ai} = \alpha + \beta \text{FinancialPlanner}_a + \gamma \text{HighRiskTolerance}_i + \delta \text{HighConfidence}_i + \mu \text{DomesticOutlook}_i + X_i + \varepsilon_{ai}.$$

$$y_{ai} = \alpha + \beta \text{FemaleAuditor}_i + \eta \text{Attribute}_i + \kappa (\text{Female}_i \times \text{Attribute}_i) + X_i + \varepsilon_i.$$

Interpretation. The first equation compares FPs to SFs. The second asks whether women with the same stated attributes receive worse advice than men.

4 Identification and empirical design

- Risk tolerance, confidence, and geographic outlook are randomized.
- Auditors are randomly assigned to firm visits.
- The study covers all 65 local Hong Kong advisory firms serving retail investors.
- No-product visits are coded as undominated advice in the main analysis.
- The main limitation is external validity beyond Hong Kong and the fact that advisor beliefs are inferred from behavior.

5 Tables and figures

5.1 Figures 1–2 and Table I: model setup

Read: Figure 1 shows investor matching by financial knowledge. Figure 2 and Table I show how retention probability changes with client characteristics and firm type.

Economic message. FPs infer stronger gender differences in sophistication than SFs do.

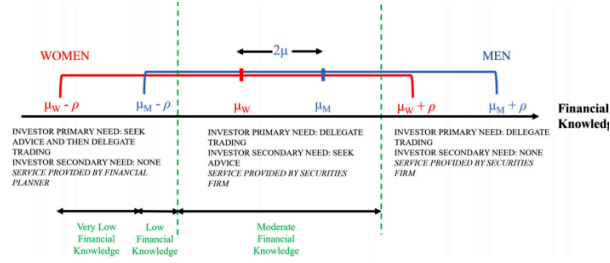


Figure 1. Matching of investors to financial advisors. The figure shows the distribution of financial knowledge for women (in red) and men (in blue). Individuals above knowledge level $\mu_W + \rho$ and $\mu_M + \rho$ are matched to a securities firm.

(a) Matching of investors to advisors

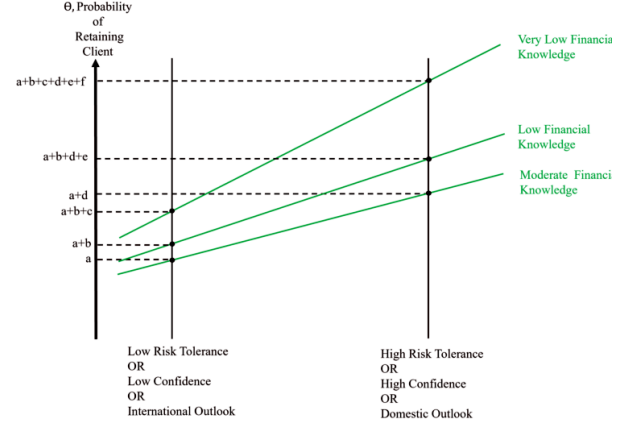


Figure 2. Probability of retaining client. This figure shows the probability that an advisor, e

(b) Probability of retaining client

Table I
Probability of Retaining Clients after Giving Suboptimal Advice.

a table shows how the probability that a financial planner firm (FP) or securities firm (SF) retains a client varies with different combinations of attributes: high or low risk tolerance or confidence, domestic or international outlook, and gender.

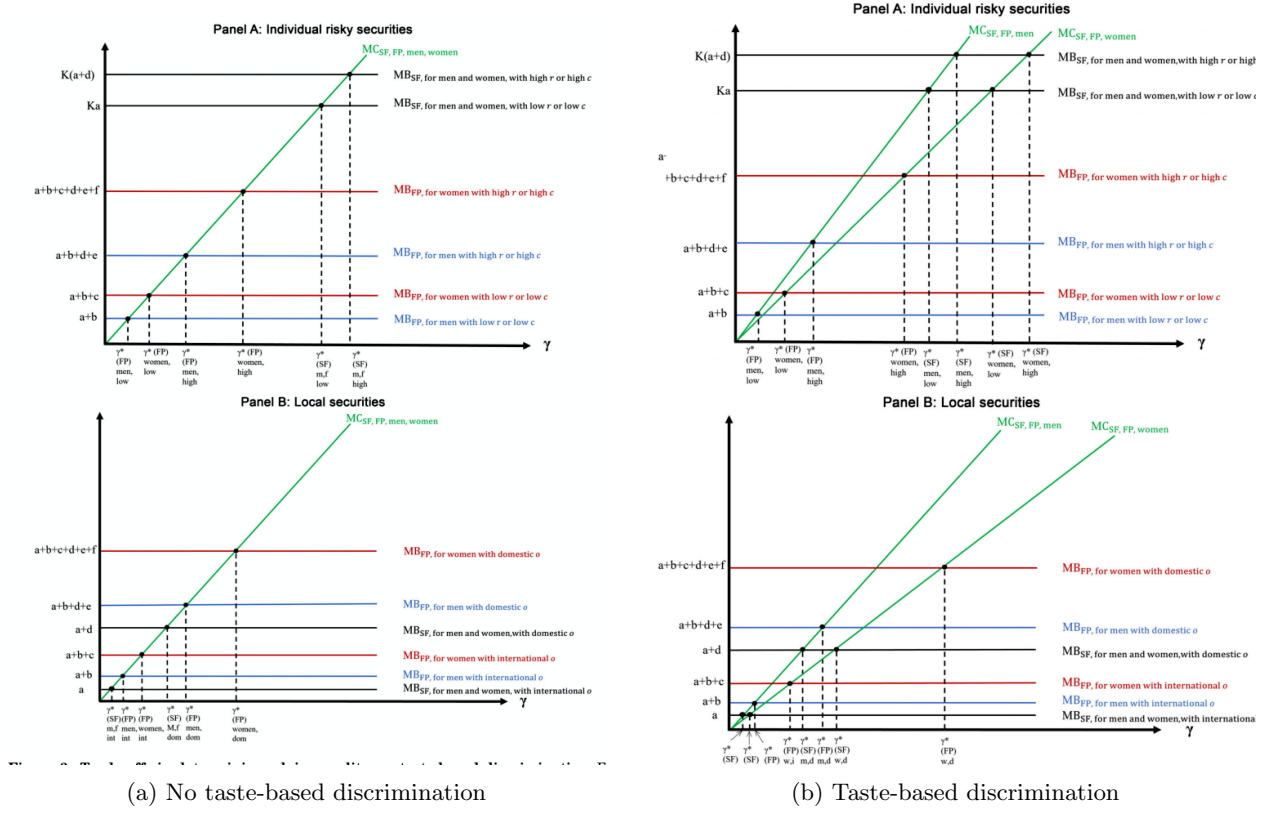
Client Attributes		If client visits ...	...then advisor infers client's financial knowledge is	...implying	Probability that client is retained: θ	
k Tolerance/Confidence/ geographic Outlook	Gender				FPs	SFs
	(2)	(3)	(4)	(5)	(6)	(7)
h/High/Domestic	Female	FP	Very low	High catering; Very low detection	$a + b + c + d + e + f$	—
	Male	FP	Low	High catering; Low detection	$a + b + d + e$	—
	Female	SF	Moderate	High catering; Moderate detection	—	$a + d$
	Male	SF	Moderate	High catering; Moderate detection	—	$a + d$
v/Low/International	Female	FP	Very low	Low catering; Very low detection	$a + b + c$	—
	Male	FP	Low	Low catering; Low detection	$a + b$	—
	Female	SF	Moderate	Low catering; Moderate detection	—	a
	Male	SF	Moderate	Low catering; Moderate detection	—	a

Table I: retention probabilities

5.2 Figures 3–4: model mechanism

Read: Figure 3 shows the statistical-discrimination mechanism without taste-based discrimination; Figure 4 shows the taste-based alternative.

Economic message. The observed patterns fit statistical discrimination interacting with incentives better than taste discrimination.



5.3 Audit design and product recommendations

Read: Table II reports auditor characteristics; Figure 5 shows gender balance across randomized attributes; Tables III–V document visit balance and recommendation content.

Economic message. The audit design produces balanced attributes while controls absorb remaining auditor differences.

Table II
Characteristics of the Auditors.

This table shows summary statistics for the characteristics of the auditors. The study started with 32 auditors, but during the study five new auditors were hired to replace five auditors who left. The summary statistics correspond to all 37 individual auditors.

	All (1)	Male N = 19 (2)	Female N = 18 (3)
Age (Mean)	40.43	39.00	41.94
Married (Fraction)	0.84	0.68	1.00
Number of children (Mean)	0.97	0.74	1.22
Currently employed (Fraction)	0.84	0.95	0.72
Lives in own house (Fraction)	0.54	0.63	0.44
Has a mandatory provident fund plan (Fraction)	0.81	0.95	0.67
Never traded stocks before (Fraction)	0.43	0.32	0.56
Number of times traded stocks in last year (Fraction)			
Zero	0.49	0.42	0.56
1 to 2 times	0.30	0.37	0.22
3 to 4 times	0.22	0.21	0.22
Education (Fraction)			
Less than senior secondary school	0.05	0.00	0.11
Senior secondary school	0.59	0.53	0.67
Two-year degree / Sub-degree	0.32	0.42	0.22
Bachelor's degree	0.03	0.05	0.00
Net worth (Fraction)			
Less than \$100,000	0.16	0.11	0.22
\$100,000–\$499,999	0.38	0.32	0.44
\$500,000–\$999,999	0.24	0.37	0.11
\$1,000,000–\$4,999,999	0.22	0.21	0.22

(a) Auditor characteristics

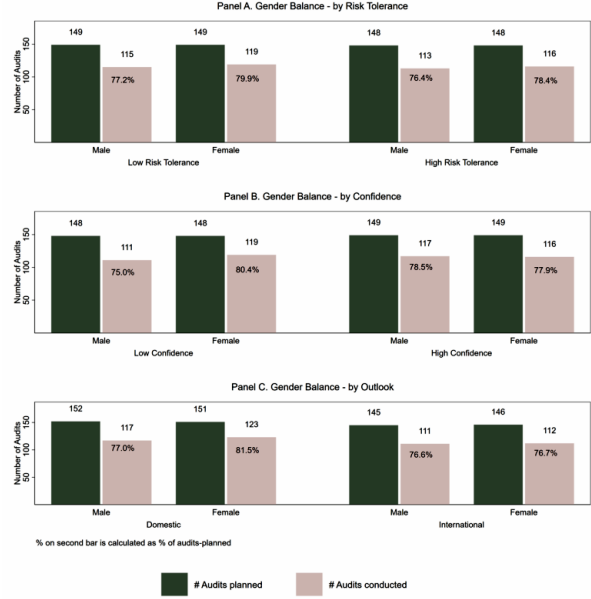


Figure 5. Gender balance across auditor attributes. The panels show gender balance by risk tolerance (Panel A), confidence (Panel B), and geographic outlook (Panel C). The green bars depict the number of audits that were planned, whereas the brown bars depict the number of audits that were successfully conducted. (Color figure can be viewed at wileyonlinelibrary.com)

(b) Gender balance

Table III
Number of Visits by Gender of Financial Advisor and Auditor, and by Advisor Type.

This table reports the fraction of the total number of audit visits made by the auditors of a given gender to the advisors of a given gender for securities firms (SFs) and financial planners (FPs) both combined and separately. The fractions without (with) parentheses sum to 100 across columns (rows).

	Male Advisor (1)	Female Advisor (2)	Total Number (3)
All Firms			
Male auditor	0.73 (0.48)	0.27 (0.52)	228
Female auditor	0.76 (0.52)	0.24 (0.48)	235
Total	344 (0.74)	119 (0.26)	463
Financial Planning Firms			
Male auditor	0.81 (0.49)	0.19 (0.5)	37
Female auditor	0.82 (0.51)	0.18 (0.5)	38
Total	61 (0.81)	14 (0.19)	75
Securities Firms			
Male auditor	0.71 (0.48)	0.29 (0.52)	191
Female auditor	0.75 (0.52)	0.25 (0.48)	197
Total	283 (0.73)	105 (0.27)	388

(a) Visit balance

Table IV
Distribution of Recommendations across Product Classes.

This table shows the fraction of visits to financial planners (FPs) and securities firms (SFs) in which a given class of financial product was recommended. Column (1) ((4)) shows the fraction of visits where FPs ((SFs)) recommended at least one product in that class. Columns (2) and (5) show the mean and columns (3) and (6) show the median number of products recommended within that class. Because advisors may recommend products belonging to different classes in one visit, the fractions in columns (1) and (4) sum to more than one.

Product description	Visits to Financial Planners			Visits to Securities Firms		
	Fraction (1)	Number of Products Recommended		Fraction (4)	Number of Products Recommended	
		Mean (2)	Median (3)		Mean (5)	Median (6)
Stocks	0.51	2.1	2	0.60	2.3	2
ETFs	0.13	1.0	1	0.21	1.2	1
REITs	0.09	1.0	1	0.07	1.0	1
Traded on exchange	0.56	1.0	1	0.67	1.0	1
Government bonds	0.04	1.7	1	0.02	1.0	1
Insurance	0.03	1.5	2	0.02	1.0	1
Not traded on exchange	0.07	1.0	1	0.04	1.0	1
Mutual fund	0.37	2.0	2	0.06	1.1	1
Others	0.04	–	–	0.02	–	–
No recommendation	0.25	–	–	0.31	–	–

(b) Product classes

Explanations for Visits Where Advisor Did Not Recommend a Specific Product.

This table summarizes the content of conversations at visits where the advisor did not recommend a specific product. Multiple categories may apply simultaneously to any given visit. X: avoid excessive risk; invest in provident fund; diversify geographically; buy blue-chip stocks, insurance, bonds, mature stocks. Others: reason is unclear.

Content of Conversation or Other Explanations	Financial Planners (N = 19)	Securities Firms (N = 120)
	(1)	(2)
"We do not provide specific recommendations"	0.21	0.53
"You must open an account first"	0.11	0.23
"You must undergo a risk assessment first"	0.21	0.17
"Our company provides industry research findings"	0.05	0.20
Did not meet a licensed financial advisor	0.11	0.14
Advisor provided information but did not advise	0.11	0.10
"We do not take walk-in clients"	0.16	0.05
"We only work with professional investors"	0.26	0.03
Advisor gave nonspecific advice to do X	0.05	0.06
"This is not a good time for financial investments"	0.00	0.03
Others	0.11	0.01

No specific recommendation

5.4 Core empirical results

Read: Table VI shows that FPs provide better average advice but women receive worse FP advice than men. Table VII confirms the firm-type result in regressions.

Economic message. The gender gap is concentrated in financial planning firms.

Table VI
Advice Quality by Firm Type and Auditor Gender.

This table shows the difference in advice quality by financial-advisory firm type and by auditor gender. Panel A shows the difference by type of firm, while Panel B shows the difference by auditor gender within each type of firm. * and * denote statistical significance at the 5% and 10% level.

Panel A: Advice quality by firm type		
	Undiversified Advice (UA) (1)	Home-Biased Advice (HB) (2)
All firms	0.384	0.389
Securities firms (SFs)	0.410	0.397
Financial planners (FPs)	0.253	0.347
Diff (SFs – FPs)	0.156**	0.050
p-value	0.01	0.41

Panel B: Advice quality by firm type and auditor gender				
	Securities Firms		Financial Planners	
	UA (1)	HB (2)	UA (3)	HB (4)
Male	0.393	0.361	0.135	0.243
Female	0.426	0.431	0.368	0.447
Diff (M – F)	–0.034	–0.070	–0.233**	–0.204*
p-value	0.50	0.16	0.02	0.06

(a) Advice quality

Table VII
Advice Quality and Type of Firm.

This table shows estimation results of regressing *Undiversified Advice* and *Home-Biased Advice* on the advisor type. *Financial Planner* is a dummy variable taking the value of one (zero) when the auditor is from a financial planner firm (securities firm). *High Risk Tolerance*, *High Confidence*, and *Domestic Outlook* take the value of one (zero) when the auditor plays an avatar of high (low) risk tolerance, high (low) confidence, and domestic (international) outlook in the audit visit, respectively. *Educated Beyond Sr. Secondary School*, *Net Worth above HK\$500,000*, and *Traded Stocks* take the value of one if the auditor's education is higher than senior secondary school, if the net worth of the auditor is more than HK\$500,000, and if the auditor has traded stocks before, respectively. *Age* is the age of the auditor in years. Standard errors are clustered at the auditor level and reported in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% level.

	Undiversified Advice			Home-Biased Advice		
	(1)	(2)	(3)	(4)	(5)	(6)
Financial Planner	–0.156*** (0.053)	–0.151*** (0.052)	–0.155*** (0.054)	–0.050 (0.058)	–0.072 (0.057)	–0.068 (0.058)
High Risk Tolerance		–0.007 (0.045)	–0.023 (0.046)		–0.202*** (0.052)	–0.230*** (0.048)
High Confidence		0.110** (0.046)	0.117*** (0.042)		0.091* (0.052)	0.079* (0.042)
Domestic Outlook		–0.050 (0.044)	–0.065* (0.038)		0.029 (0.053)	0.014 (0.049)
Educated Beyond Sr. Secondary School			–0.032 (0.061)			–0.018 (0.052)
Net Worth above HK\$500,000			–0.098 (0.059)			–0.066 (0.072)
Age			0.003 (0.005)			0.002 (0.005)
Traded Stocks			0.076 (0.055)			–0.079 (0.066)
Constant	0.410*** (0.027)	0.383*** (0.046)	0.269 (0.194)	0.397*** (0.034)	0.440*** (0.074)	0.467** (0.221)
Observations	463	463	463	463	463	463
R ²	0.014	0.030	0.038	0.001	0.053	0.071

(b) Firm-type regression

5.5 Gender gap by attributes

Read: Table VIII shows the female-auditor effect by firm type. Table IX and Figure 6 show that women with high risk tolerance, high confidence, or domestic outlook are especially likely to receive suboptimal advice at FPs.

Economic message. Advisors respond to the same stated attributes more aggressively when the client is female.

Table VIII
Gender Difference in Advice Quality and Type of Firm.

This table shows estimation results of regressing *Undiversified Advice* and *Home-Biased Advice* on auditor gender. Columns (1) to (6) show the results of regressing *Undiversified Advice*, while columns (7) to (12) show the results of regressing *Home-Biased Advice* on auditor gender, estimated separately for audit visits to financial planners and securities firms (SFs). *Female Auditor* is an indicator taking the value of one (zero) for female (male) auditors. *High Risk Tolerance*, *High Confidence*, and *Domestic Outlook* take the value one (zero) when the auditor plays an avatar of high (low) risk tolerance, high (low) confidence, and domestic (international) outlook in the audit visit, respectively. *Educated Beyond Sr. Secondary School*, *Net Worth above HK\$500,000*, and *Traded Stocks* are indicator variables. *Age* is the age of the auditor in years. Standard errors are clustered at the auditor level and reported in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% level.

	Undiversified Advice						Home-biased Advice					
	Financial Planner Firms			SFs			Financial Planner Firms			SFs		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
Female Auditor	0.233** (0.098)	0.243** (0.095)	0.290*** (0.100)	0.034 (0.053)	0.037 (0.050)	0.021 (0.062)	0.204* (0.120)	0.202 (0.120)	0.253** (0.118)	0.070 (0.067)	0.072 (0.052)	0.044 (0.046)
High Risk Tolerance		0.119 (0.095)	0.125 (0.096)		-0.028 (0.049)	-0.043 (0.049)		-0.160 (0.130)	-0.161 (0.125)		-0.209*** (0.053)	-0.234*** (0.052)
High Confidence		0.137 (0.099)	0.206** (0.097)		0.106** (0.050)	0.120** (0.047)		0.164 (0.123)	0.361** (0.108)		0.079 (0.053)	0.069 (0.047)
Domestic Outlook		-0.047 (0.093)	0.008 (0.092)		-0.051 (0.049)	-0.063 (0.040)		0.026 (0.127)	0.083 (0.119)		0.031 (0.053)	0.023 (0.053)
Educated Beyond Sr. Secondary School					-0.052 (0.113)	-0.067 (0.067)		0.224* (0.129)				-0.038 (0.051)
Net Worth above HK\$500,000					-0.107 (0.131)	-0.106* (0.061)		-0.234** (0.110)				-0.039 (0.073)

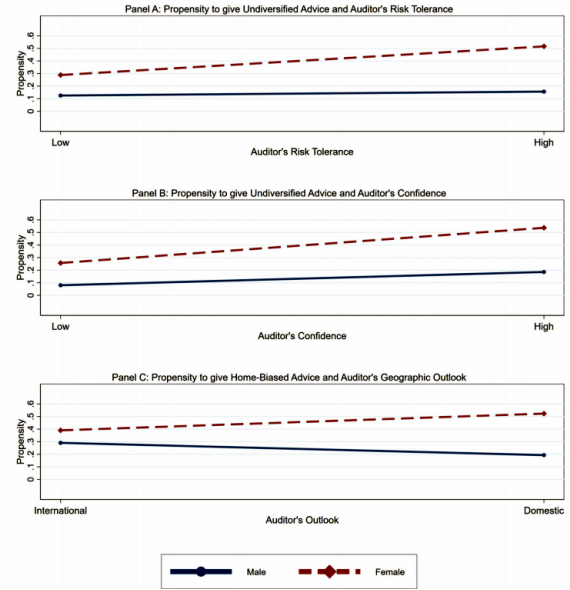
(Continued)

Table VIII: gender difference, part 1

Table VIII—Continued

	Undiversified Advice						Home-biased Advice					
	Financial Planner Firms			SFs			Financial Planner Firms			SFs		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
Age			-0.006 (0.009)			0.001 (0.006)			-0.002 (0.016)			-0.002 (0.006)
Traded Stocks			-0.081 (0.136)			0.125* (0.063)			-0.015 (0.151)			-0.077 (0.066)
Constant	0.133** (0.059)	0.048 (0.128)	0.352 (0.316)	0.393*** (0.019)	0.378*** (0.053)	0.352 (0.233)	0.243** (0.096)	0.220 (0.158)	0.240 (0.368)	0.361*** (0.052)	0.413*** (0.085)	0.610*** (0.203)
Observations	75	75	75	388	388	388	75	75	75	388	388	388
R ²	0.072	0.120	0.155	0.001	0.016	0.027	0.046	0.095	0.152	0.005	0.058	0.074

(a) Table VIII continued



(b) Figure 6: predicted propensities

Table IX
Gender Difference and Auditor Attributes in Financial Planner Visits.

The top half of the table reports the predicted probabilities that auditors of each gender and attribute combination receive *Undiversified Advice* in columns (1) through (4) and *Home-Biased Advice* in columns (5) and (6), when they visit financial planners. The probabilities are obtained from regression equation (5). The key independent variable/attribute (X) is an indicator variable taking the value of one (zero) for *High (Low) Risk Tolerance* in columns (1) and (2), *High (Low) Confidence* in columns (3) and (4), and *Domestic (International) Outlook* in columns (5) and (6). The bottom half of the table reports the difference in the predicted probability and *t*-tests for the difference in the respective dependent variable across auditors' gender with a particular attribute, and across a particular auditor attribute for a given gender. *Demographic Controls* include a dummy for the auditor's education (= 1 if educated beyond sr. secondary school), a dummy for the auditor's net worth (= 1 if net worth above HK\$500,000), a dummy for the auditor's trading experience (= 1 if have traded stocks before), and the auditor's age (in years). Standard errors reported in parentheses are clustered at the auditor level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% level.

Dependent Variable (Y)	Undiversified Advice		Undiversified Advice		Home-biased Advice	
Independent Variable/Attribute (X)	<i>X = Risk Tolerance</i>		<i>X = Confidence</i>		<i>X = Outlook</i>	
	(1)	(2)	(3)	(4)	(5)	(6)
Predicted Probability						
Male, Low X	0.136 (0.085)	0.125 (0.080)	0.100 (0.090)	0.080 (0.077)	0.278** (0.133)	0.291** (0.117)
Male, High X	0.133 (0.085)	0.156* (0.089)	0.176** (0.074)	0.186** (0.079)	0.211 (0.139)	0.193 (0.147)
Female, Low X	0.280*** (0.082)	0.288*** (0.091)	0.273*** (0.088)	0.257*** (0.099)	0.429*** (0.114)	0.390*** (0.115)
Female, High X	0.538*** (0.120)	0.516*** (0.147)	0.500*** (0.121)	0.537*** (0.112)	0.471*** (0.078)	0.524*** (0.090)
Within High X: Female – Male	0.405*** (0.147)	0.360* (0.178)	0.324** (0.142)	0.352*** (0.115)	0.260 (0.159)	0.330* (0.187)
Within Low X: Female – Male	0.144 (0.118)	0.163 (0.126)	0.173 (0.126)	0.177 (0.136)	0.151 (0.175)	0.099 (0.161)
Within Females: High X – Low X	0.258* (0.145)	0.228 (0.170)	0.227 (0.150)	0.280* (0.138)	0.042 (0.138)	0.133 (0.154)
Within Males: High X – Low X	−0.003 (0.122)	0.031 (0.131)	0.076 (0.117)	0.106 (0.121)	−0.067 (0.193)	−0.098 (0.185)
Demographic Controls	No	Yes	No	Yes	No	Yes
Observations	75	75	75	75	75	75
R^2	0.112	0.123	0.109	0.146	0.049	0.089

Table IX: auditor attributes in FP visits

5.6 Robustness and additional mechanisms

Read: Tables X–XII examine which firm type women should visit, whether advisor gender matters, and other conversation characteristics.

Economic message. The follow-up tests support the interpretation that the quality gap is driven by advice incentives rather than simple avoidance or advisor gender taste.

Table X
Which Firm Type Should a Female Investor Seek Advice From?

This table shows estimation results from a regression of the *Undiversified Advice* and *Home-Biased Advice* dummy variables on the type of financial advisory firm. *Financial Planner* takes the value of one (zero) when the financial advisory firm is a financial planner (securities firm). *High Risk Tolerance*, *High Confidence*, and *Domestic Outlook* take the value one (zero) when the auditor plays the avatar of high (low) risk tolerance, high (low) confidence, and domestic (international) outlook in the audit visit, respectively. *Educated Beyond Sr. Secondary School*, *Net Worth above HK\$500,000*, and *Traded Stocks* are indicator variables. Age is the age of the auditor in years. Standard errors are clustered at the auditor level and reported in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% level.

	Undiversified Advice						Home-Biased Advice					
	Male Auditors			Female Auditors			Male Auditors			Female Auditors		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
Financial Planner	-0.258*** (0.063)	-0.254*** (0.056)	-0.281*** (0.060)	-0.058 (0.082)	-0.047 (0.084)	-0.050 (0.084)	-0.118 (0.086)	-0.137 (0.080)	-0.156* (0.084)	0.016 (0.082)	-0.004 (0.086)	-0.001 (0.083)
High Risk Tolerance		0.005 (0.069)	-0.002 (0.058)		-0.016 (0.053)	-0.021 (0.057)		-0.238*** (0.079)	-0.266*** (0.092)		-0.163** (0.064)	-0.187** (0.071)
High Confidence		0.041 (0.073)	0.140** (0.060)		0.180*** (0.050)	0.164** (0.062)		0.120 (0.082)	0.163 (0.101)		0.065 (0.064)	0.064 (0.054)
Domestic Outlook		-0.088 (0.070)	-0.152*** (0.044)		-0.014 (0.049)	-0.047 (0.057)		0.012 (0.083)	-0.008 (0.101)		0.048 (0.064)	0.042 (0.067)
Educated Beyond Sr. Secondary School			0.017 (0.055)		-0.150 (0.087)			-0.064 (0.099)			-0.034 (0.072)	

(Continued)

Table X: firm type for female investors, part 1

Table X—Continued

	Undiversified Advice						Home-Biased Advice					
	Male Auditors			Female Auditors			Male Auditors			Female Auditors		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
Net Worth above HK\$500,000		-0.254*** (0.054)		0.007 (0.088)			-0.215* (0.120)			0.043 (0.064)		
Age		0.004 (0.060)		-0.002 (0.011)			-0.000 (0.009)			0.007 (0.012)		
Traded Stocks		0.212** (0.084)		-0.009 (0.055)			0.083 (0.126)			-0.129* (0.073)		
Constant	0.395*** (0.040)	0.413*** (0.074)	0.345 (0.236)	0.420*** (0.036)	0.351*** (0.053)	0.466 (0.455)	0.361*** (0.052)	0.410*** (0.132)	0.559** (0.257)	0.431*** (0.043)	0.450*** (0.096)	0.235 (0.492)
Observations	228	228	228	235	235	235	228	228	228	235	235	235
R ²	0.040	0.050	0.093	0.002	0.035	0.045	0.008	0.086	0.120	0.000	0.033	0.047

(a) Table X continued

Table XI
Do Male or Female Financial Planners Advise Differentially by Gender of the Advisee?

The top of the table shows the predicted probabilities of receiving *Undiversified Advice* (*Home-Biased Advice*) by auditor and advisee gender for the audit visits to financial planners. The probabilities are obtained from regression equation (8). The bottom of the table reports the difference in the predicted probabilities (and *t*-test for the difference) that an advisor of a given gender provides *Undiversified Advice* (*Home-Biased Advice*) to female and male auditors, and that auditors of a given gender receive from female and male advisors. *Demographic Controls* include a dummy for the auditor's education (= 1 if educated beyond sr. secondary school), a dummy for the auditor's net worth (= 1 if net worth above HK\$500,000), a dummy for the auditor's trading experience (= 1 if have traded stocks before), and the auditor's age (in years). Standard errors are clustered at the auditor level and reported in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% level.

	Undiversified Advice		Home-biased Advice	
	(1)	(2)	(3)	(4)
Predicted Probability				
Male Auditor, Male FA	0.167** (0.077)	0.171** (0.070)	0.267** (0.126)	0.264** (0.134)
Male Auditor, Female FA	0.000 (0.000)	0.019 (0.060)	0.143 (0.140)	0.106 (0.161)
Female Auditor, Male FA	0.419*** (0.086)	0.409*** (0.095)	0.519*** (0.069)	0.521*** (0.083)
Female Auditor, Female FA	0.143 (0.144)	0.132 (0.142)	0.143 (0.151)	0.109 (0.151)
Within Female FA: Female Auditor - Male Auditor	0.143 (0.144)	0.333 (0.155)	0.000 (0.201)	0.063 (0.224)
Within Male FA: Female Auditor - Male Auditor	0.253** (0.115)	0.238* (0.126)	0.249* (0.144)	0.256 (0.172)
Within Female Auditors: Female FA - Male FA	-0.276* (0.151)	-0.257* (0.145)	-0.373** (0.142)	-0.351** (0.142)
Within Male Auditors: Female FA - Male FA	-0.167** (0.077)	-0.152 (0.114)	-0.134 (0.211)	-0.158 (0.251)
Demographic Controls	No	Yes	No	Yes
Observations	75	75	75	75
R ²	0.114	0.131	0.098	0.125

(b) Table XI: advisor gender

Table XII
Gender Differences in Other Audit Characteristics: Securities Firms (SFs) Versus Financial Planners (FPs)

This table reports the difference in various audit characteristics by auditor gender estimated separately for SFs and FPs. *Willing to Give Advice* is a binary variable taking the value of one if an auditor assigns a top-two rating to the advisor on a five-point scale, and zero otherwise. *Duration* of the meeting is measured in minutes. *Number of Demographic Questions* is the number of demographic-related questions (e.g., age, marital status) the auditor asked the auditor in a visit. *Number of Financial Condition Questions* is the number of questions related to the financial condition of the auditor (monthly income, employment situation, etc.) the auditor asked in a visit. *Asked about Financial Knowledge* is a binary indicator taking the value of one if the financial advisor asked any question related to financial knowledge or investment experience of the auditor in a visit, and zero otherwise. *Did not Inquire about Any Item* is a binary indicator taking the value of one if a financial advisor did not ask the auditor about any of the 19 items we had listed, about their demographics, financial condition, or financial knowledge. *p*-values for *t*-tests for the differences in means are reported in alternate rows in columns (7) to (11). ^{***}, ^{**}, ^{*} and [°] denote statistical significance at the 1%, 5%, and 10% level.

	Securities Firms			Financial Planners			Difference				
	All (1)	F (2)	M (3)	All (4)	F (5)	M (6)	(1 – 4) (7)	(2 – 5) (8)	(3 – 6) (9)	(2 – 3) (10)	(5 – 6) (11)
Willing to Give Advice	0.54	0.60	0.48	0.65	0.68	0.62	−0.11*	−0.08	−0.15	0.13**	0.06
							0.07	0.35	0.11	0.01	0.58
Duration (min)	21.75	21.45	22.07	30.33	27.63	33.11	−8.58***	−6.18***	−11.04***	−0.62	−5.48
							0.00	0.01	0.00	0.62	0.25
Number of Demographic Questions	0.50	0.40	0.60	1.71	1.16	2.27	−1.21***	−0.76***	−1.67***	−0.2	−1.11**
							0.00	0.00	0.00	0.12	0.04
Number of Financial Condition Questions	0.75	0.62	0.88	2.03	1.82	2.24	−1.28***	−1.20***	−1.36***	−0.26**	−0.43
							0.00	0.00	0.00	0.05	0.29
Asked about Financial Knowledge	0.31	0.33	0.29	0.61	0.61	0.62	−0.30***	−0.28***	−0.33***	0.04	−0.02
							0.00	0.00	0.00	0.44	0.89
Did not Inquire about Any Item	0.45	0.42	0.48	0.13	0.13	0.14	0.32***	0.29***	0.35***	−0.06	0.00
							0.00	0.00	0.00	0.23	0.96

Table XII: other audit characteristics

6 Short summary

- The paper uses a randomized audit study of 463 visits to all 65 local Hong Kong advisory firms serving retail investors.
- Men and women auditors play avatars that vary risk tolerance, confidence, and geographic outlook.
- At financial planning firms, women are more likely than men to receive undiversified and home-biased advice.
- Gender gaps at securities firms are small or absent.
- The model explains the evidence through statistical discrimination interacting with advisor incentives.
- Taste-based discrimination is unlikely to explain the pattern.

7 Conclusion

7.1 Core conclusion

Women receive worse financial advice in some advisory settings, especially financial planning firms.

7.2 Economic intuition

Advisors infer that female clients are less financially knowledgeable and therefore less likely to detect low-quality advice, raising the perceived retention benefit of suboptimal advice.

7.3 Takeaway

Advice-market incentives can amplify financial-literacy gaps. Improving outcomes requires attention to both investor education and advisor incentives.